

# Kestrel Participant Onboarding Guide

Reference ONB-2026-K. Owner: Network Participation. Effective 2026-08-01. This guide takes a candidate institution from application to production settlement on the Kestrel Instant Settlement Network. It is the operational companion to policy KSN-2027-A: where the two disagree, the policy wins.

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# 1 Eligibility and tier assignment

Any deposit-taking institution regulated by the East African Payments Council (EAPC) may apply for direct participation (Tier-K2). Institutions without an EAPC settlement licence join as Tier-K3 through a sponsoring Tier-K2 member, which carries the sponsored institution's settlement risk on its own Vireo funding account. Tier-K1 (Anchor) status is by invitation of the Vireo governance committee only.

The tier requested at application determines the evidence pack: Tier-K2 applicants submit their EAPC licence, audited financials for two years, and a settlement-risk self-assessment; Tier-K3 applicants submit their sponsor agreement and the sponsor's counter-signed risk acceptance (form ONB-RA-3).

# 2 Onboarding milestones

Onboarding runs through four gated milestones. A milestone is passed only when its exit criteria are signed off in Aviary by both the applicant and Network Participation; there is no conditional pass.

| Milestone | Name                          | Typical duration | Exit criteria                                                        |
|-----------|-------------------------------|------------------|----------------------------------------------------------------------|
| M1        | Application and due diligence | 3-4 weeks        | Evidence pack accepted; AML screening under SCR-2026-A clear         |
| M2        | Integration test sign-off     | 2-6 weeks        | Conformance suite green against the sandbox; message specs frozen    |
| M3        | Settlement drills             | 2 weeks minimum  | Three consecutive green settlement drills (see section 4)            |
| M4        | Production cutover            | 1 week           | Production KPI issued; first live instruction settled and reconciled |

Elapsed time from application to production is typically 8 to 13 weeks. The longest observed onboarding in 2026 was 22 weeks, caused by repeated M3 drill failures on the applicant side.

# 3 Sandbox access (KPI-S)

Sandbox credentials are issued as a KPI-S — functionally a KPI restricted to the sandbox environment. Since Kestrel API release v2026.3, applicants self-request a KPI-S in Aviary once M2 is signed off; no support ticket is required.

- A KPI-S expires after 90 days of inactivity (v2027.2 change; previously 180).
- Sandbox instructions carry no fees and settle against simulated funding accounts.
- The sandbox enforces the same tier ceilings as production: 8,000,000 KES-eq single-instruction for Tier-K2 profiles, 750,000 KES-eq for Tier-K3.
- Sandbox API tokens use the same mfk\_ prefix format as production; legacy kestrel\_ tokens are rejected everywhere since 2026-12-31.

# 4 Settlement drills (M3)

A settlement drill is a scripted production-like run executed in the sandbox with Network Participation observing. The M3 gate requires three consecutive green drills; any red or amber resets the counter to zero.

## 4.1 Drill script

| Step | Action                                                 | Green criterion                                                                          |
|------|--------------------------------------------------------|------------------------------------------------------------------------------------------|
| D1   | Submit 50 instructions inside the prime window profile | All reach finality within the 4-second target                                            |
| D2   | Submit one instruction above the tier ceiling          | KSN-ERR-402 received and handled by splitting below the ceiling                          |
| D3   | Simulated hub degradation injected by the observer     | No manual resubmission after KSN-ERR-503; auto-replay reconciled                         |
| D4   | Off-peak batch window run                              | Instructions settle within the 30-second off-peak target; 02:30 EAT reconciliation clean |
| D5   | End-of-drill reconciliation                            | Halcyon drill ledger matches the applicant's records exactly                             |

## 4.2 Common drill failures

- Resubmitting after KSN-ERR-503 (step D3) — the single most common failure; it creates duplicate settlement that would need a Halcyon clawback in production.
- Treating the KSN-ERR-429 rate limit as a fault and opening incident tickets instead of backing off.
- Clock drift above 250 ms against the Vireo time source, which breaks finality timestamp validation in step D5.

## 5 Production cutover (M4)

Cutover happens on a Tuesday or Wednesday, never inside the three business days before a quarterly freeze. Network Participation issues the production KPI, the applicant funds its Vireo account to the agreed prefunding floor, and a first live instruction of exactly 1,000 KES-eq is settled and traced end-to-end through Halcyon. Rollback is a same-day KPI suspension: settled instructions are never unwound at cutover.

## 6 Post-onboarding obligations

- Fees begin accruing from the first production instruction under the tier fee model in PRD-2027-A section 2.2.
- Support entitlements follow the Aviary SLA table: 4 business hours for Tier-K2, next business day for Tier-K3.
- Participants must review the Kestrel API changelog CHG-KSN each release and complete deprecation migrations inside the notice window.
- Annual tier review by the Vireo governance committee per KSN-2027-A section 2.

## 7 Contacts and escalation

All onboarding correspondence runs through Aviary under the applicant's case reference (format ONB-YYYY-NNN). Drill scheduling: Network Participation, five business days notice. Incidents during cutover follow BCP-2026-M severity handling; a failed first live instruction is treated as SEV-2 until reconciled.

## 8 Evidence pack checklist

The M1 evidence pack is submitted as a single Aviary upload. Incomplete packs are returned, not partially reviewed; the M1 clock restarts on re-submission. The checklist below is exhaustive — Network Participation may not request documents outside it without a policy change.

| Item                                    | Applies to | Notes                                    |
|-----------------------------------------|------------|------------------------------------------|
| EAPC settlement licence                 | Tier-K2    | Certified copy, current year             |
| Audited financial statements, two years | Tier-K2    | IFRS or national GAAP                    |
| Settlement-risk self-assessment         | Tier-K2    | Template ONB-SRA-1                       |
| Sponsor agreement                       | Tier-K3    | Executed by both institutions            |
| Sponsor risk acceptance                 | Tier-K3    | Form ONB-RA-3, counter-signed            |
| AML programme summary                   | All        | Reviewed against AML-2024-B expectations |
| Technical contact register              | All        | Minimum two named integrators            |
| Disaster-recovery attestation           | All        | Consistent with BCP-2026-M expectations  |

## 9 Frequently asked onboarding questions

### 9.1 Can milestones overlap

No. The gates are strictly sequential: a KPI-S is not issued before M2 sign-off, and drills before M2 are not counted for M3 even if green. The one permitted concurrency is preparing the M4 cutover paperwork while M3 drills run.

### 9.2 What happens if our sponsor withdraws

A Tier-K3 applicant whose sponsor withdraws re-enters M1 with a new sponsor agreement and a fresh ONB-RA-3. Completed M2 integration work carries over; drill history does not, because the sponsor's funding account is part of the drill path.

### 9.3 Can we onboard directly at Tier-K1

No. Tier-K1 is by invitation of the Vireo governance committee and has never been granted at onboarding. The realistic path is Tier-K2 participation with an upgrade review after at least four quarters of clean settlement history.

### 9.4 Do sandbox instructions cost anything

No fees accrue in the sandbox. Billing starts with the first production instruction after M4, under the PRD-2027-A section 2.2 fee model.

## Appendix A - 2026 onboarding cohort statistics

Published for applicant planning purposes; individual institutions are not identified. Figures cover the twelve institutions that completed M4 in 2026.

| Metric                                | Value                                           |
|---------------------------------------|-------------------------------------------------|
| Median application-to-production time | 10 weeks                                        |
| Fastest completed onboarding          | 7 weeks (Tier-K3 with an experienced sponsor)   |
| Slowest completed onboarding          | 22 weeks (repeated M3 drill failures)           |
| First-attempt M3 pass rate            | 58%                                             |
| Most common drill failure             | Manual resubmission after KSN-ERR-503 (step D3) |
| Withdrawals during M1                 | 2 (evidence pack not completed)                 |

## Revision history

| Version | Date       | Change                                                                                                |
|---------|------------|-------------------------------------------------------------------------------------------------------|
| 1.0     | 2025-03-10 | Initial guide (ONB-2025-K), ticket-based sandbox access                                               |
| 2.0     | 2026-08-01 | Current edition: Aviary self-service KPI-S, drill script D1-D5 formalized, cohort statistics appendix |
| 2.1     | 2027-03-05 | KPI-S expiry aligned to the 90-day rule from v2027.2                                                  |